

GOVERNMENT OF ANDHRA PRADESH • DPIIT STARTUP INDIA INITIATIVE

ANDHRA PRADESH

DPIIT-Recognized Startups

Data Analysis Report

4,428 STARTUP RECORDS	53 DISTRICTS COVERED	56 INDUSTRY CATEGORIES
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Executive Summary

Andhra Pradesh's DPIIT-recognized startup base has grown to 4,428 companies, spanning 56 industries, 172 sectors and 53 districts. This report analyzes that base in depth — how it has grown, what it does, how mature it is, and where it is located — to surface the patterns that matter for founders, investors and policymakers.

4,428	172	56	53
Total Startup Records	Distinct Sectors	Distinct Industries	Districts Represented

Recognition volumes have grown from 46 startups in 2017 to over 1,300 in 2025 alone, with the first half of 2026 already recording 794 recognitions — a clear sign of accelerating momentum rather than a plateau. The median gap between a company's incorporation and its DPIIT recognition is 134 days, and this gap has been narrowing as awareness of the scheme has spread.

IT Services leads the industry mix with 643 startups (14.5%), followed by Agriculture (8.6%) and Healthcare & Lifesciences (7.8%) — a combination that reflects the state's agrarian roots alongside its growing digital and health-tech ambitions. At the sector level, Food Processing and Construction & Engineering are the largest well-defined categories (239 startups each), with Product Development, IT Consulting and Agri-Tech close behind.

Geographically, Visakhapatnam district alone accounts for 24.8% of all recognized startups, and the top five districts together account for well over half the state total — a concentration around the coastal-urban corridor that is examined in detail in the geographic sections below.

On maturity, 35% of startups are still at the Ideation stage and 33.9% at Validation, with only 9.2% having reached the Scaling stage — evidence of a young, fast-forming ecosystem. Digital presence is limited, with only 24.6% of startups listing a working website. The sections that follow unpack each of these dimensions with full supporting data, before closing with key findings and actionable recommendations.

1 Growth Trends: Incorporation & Recognition

1.1 Year-on-Year Growth

The chart below compares the number of startups incorporated in each calendar year against the number recognized by DPIIT in that same year. Because recognition can lag incorporation by months or years, the two series are not expected to align exactly year-for-year, but both show the same overall upward trajectory. Note that 2026 figures are partial, covering only January–June.

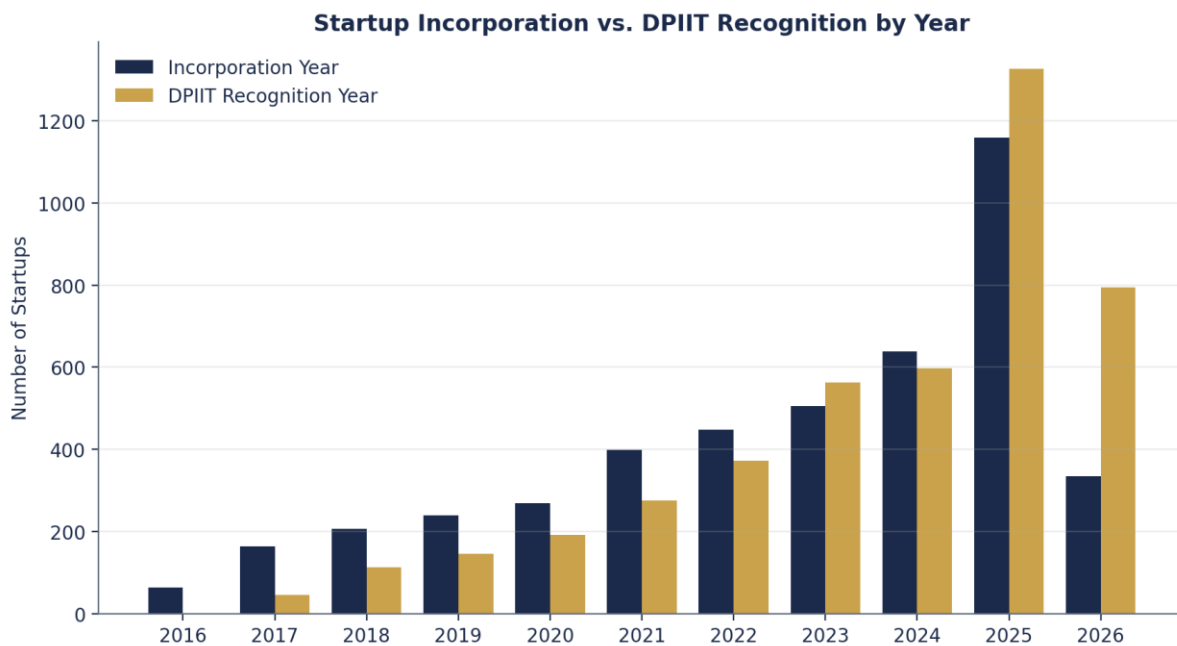


Figure 1.1 — Startups incorporated vs. DPIIT-recognized, by calendar year

Year	Incorporated	Recognized	YoY Incorp. Growth
2016	63	0	—
2017	164	46	160.3%
2018	207	113	26.2%
2019	239	146	15.5%
2020	269	192	12.6%
2021	399	276	48.3%
2022	448	373	12.3%
2023	506	563	12.9%
2024	638	598	26.1%
2025	1160	1327	81.8%

Year	Incorporated	Recognized	YoY Incorp. Growth
2026	335	794	-71.1%

Incorporation activity accelerated sharply from 2021 onward, roughly doubling between 2021 (399) and 2025 (1,160), with 2025 alone contributing over a quarter of all incorporations in the dataset. Recognition activity mirrors this, with 2025 accounting for 1,327 recognitions — the highest of any year on record — and the first six months of 2026 already surpassing most earlier full years, at 794 recognitions.

1.2 Quarterly Recognition Momentum

Viewing DPIIT recognitions by quarter smooths out annual boundaries and reveals momentum building through 2023–2026, with a step-change visible from 2025 Q1 onward. Every quarter from 2025 Q1 through 2026 Q2 recorded 270 or more recognitions, compared to typical quarterly volumes of 60–150 in 2021–2023.

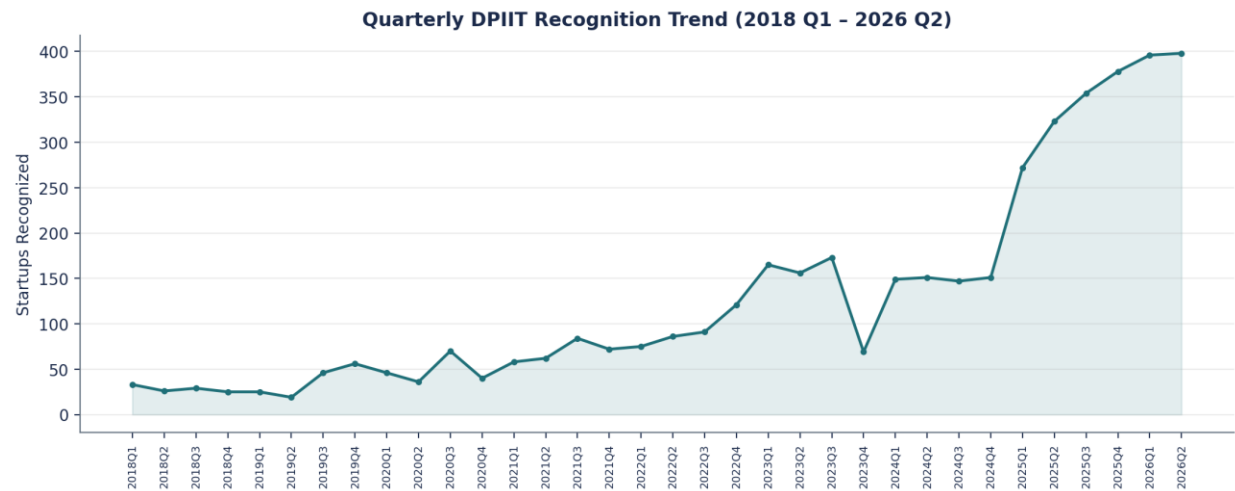


Figure 1.2 — Quarterly DPIIT recognition volume, 2018 Q1 – 2026 Q2

1.3 Incorporation-to-Recognition Lag

The lag between a company's incorporation date and its DPIIT recognition date is a useful proxy for how quickly founders are converting new incorporations into formally recognized, scheme-eligible startups. Across all 4,428 records, this lag has a median of 134 days (roughly 4.5 months) and a mean of 338.1 days, with the mean pulled upward by a long tail of older companies that recognized late.

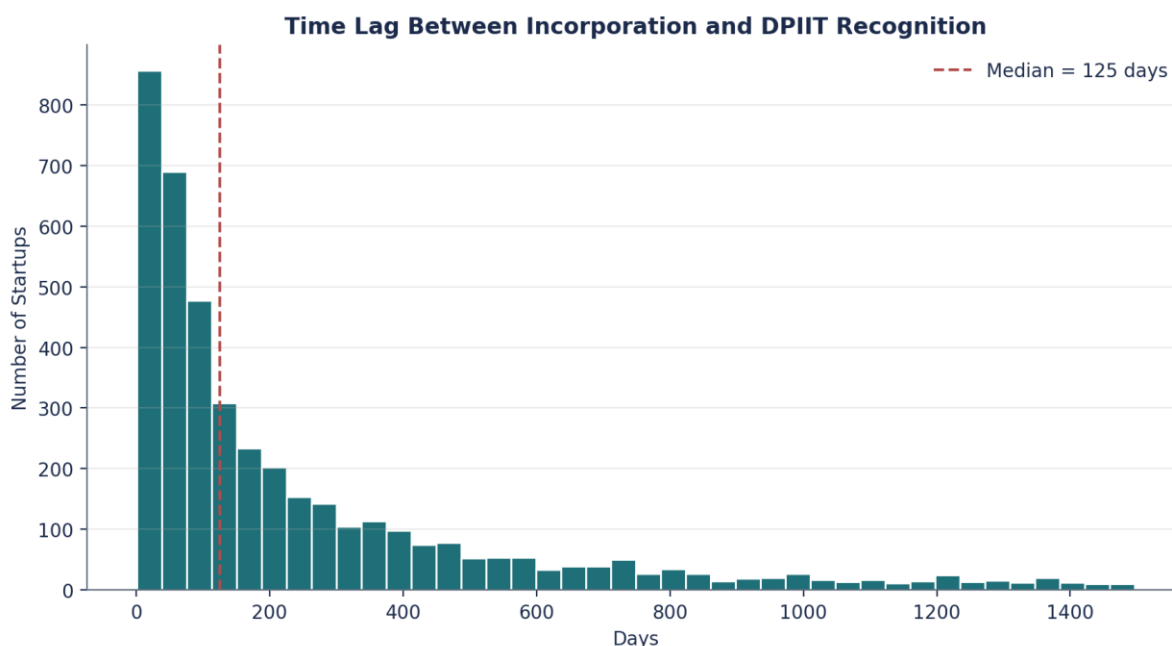


Figure 1.3 — Distribution of incorporation-to-recognition lag (days), capped at 1,500 days for readability

134	338	1	3,467
Median Lag (days)	Mean Lag (days)	Minimum Lag (days)	Maximum Lag (days)

A shorter lag generally signals that a founder incorporated with the specific intent of pursuing DPIIT recognition soon after, while very long lags typically belong to pre-existing businesses that applied for recognition well after formation. The concentration of the distribution below 400 days (the 75th percentile) suggests that, for the majority of recent applicants, DPIIT recognition has become a near-immediate step following incorporation rather than an afterthought.

2 Startup Maturity: Stage-wise Analysis

2.1 Overall Stage Distribution

Each startup self-reports a development stage at the time of recognition. The four observed stages — Ideation, Validation, Early Traction, and Scaling — represent an approximate maturity ladder from early concept to revenue-generating growth.

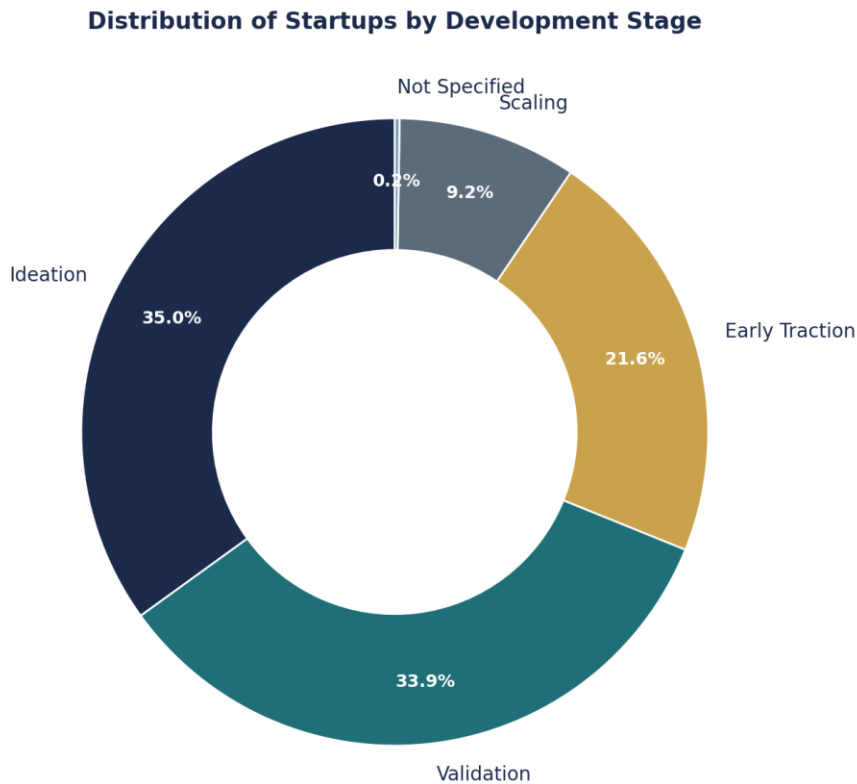


Figure 2.1 — Distribution of startups by self-reported development stage

Stage	Startups	% of Total	Interpretation
Ideation	1548	35%	Concept validated only on paper; pre-product
Validation	1502	33.9%	Early product/market testing under way
Early Traction	958	21.6%	Initial customers/revenue established
Scaling	409	9.2%	Proven model, focus on growth
Not Specified	11	0.2%	Stage left blank at source

Almost 69% of all recognized startups sit in the two earliest stages — Ideation and Validation combined — while fewer than one in ten (9.2%) has reached Scaling. This distribution is typical of a startup ecosystem that is still in an early, high-growth-of-formation phase: the sharp rise in recognitions from 2023–2026 (Section 1) has added a large cohort of very young companies that have not yet had time to progress up the maturity

ladder. Ecosystem support programs should therefore expect continued heavy demand for ideation- and validation-stage services — incubation, mentorship, and seed funding — relative to growth-stage services such as scale-up financing or export facilitation.

2.2 Maturity Mix Across Leading Districts

Maturity is not uniform across the state. The chart below breaks down the stage composition of the ten largest districts, showing what share of each district's startup base has progressed to Early Traction or Scaling versus how much remains at Ideation or Validation.

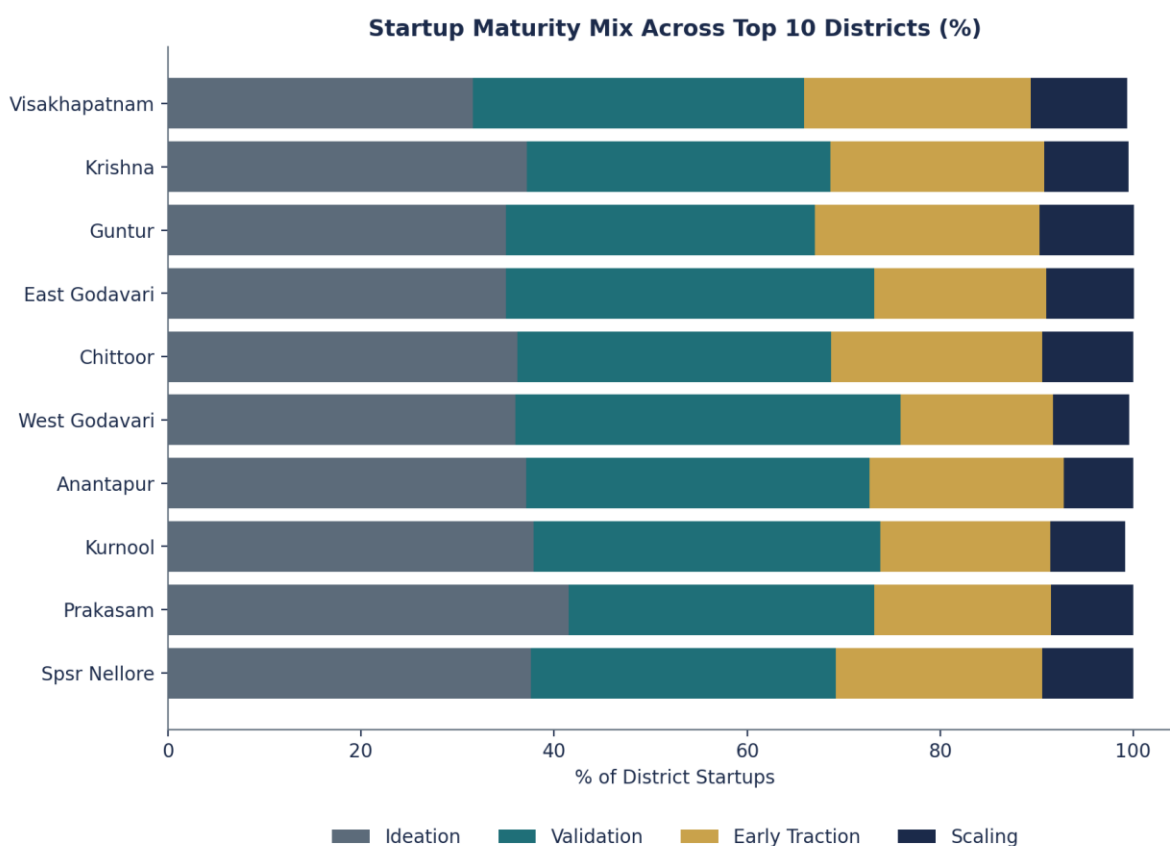


Figure 2.2 — Startup maturity mix across the top 10 districts (% of district total)

District	Ideation %	Validation %	Early Traction %	Scaling %
Visakhapatnam	31.6%	34.3%	23.5%	10%
Krishna	37.2%	31.4%	22.2%	8.7%
Guntur	35%	32%	23.3%	9.8%
East Godavari	35%	38.2%	17.8%	9.1%
Chittoor	36.2%	32.5%	21.9%	9.4%
West Godavari	36%	39.9%	15.8%	7.9%

District	Ideation %	Validation %	Early Traction %	Scaling %
Anantapur	37.1%	35.6%	20.1%	7.2%
Kurnool	37.9%	35.9%	17.6%	7.8%
Prakasam	41.5%	31.7%	18.3%	8.5%
Spsr Nellore	37.6%	31.6%	21.4%	9.4%

Visakhapatnam has the most advanced maturity profile among the top 10 districts, with a combined 33.5% of its startups already at Early Traction or Scaling — meaningfully ahead of West Godavari, where only 23.7% have progressed that far. This spread suggests that some districts benefit from more established support infrastructure or an earlier-starting entrepreneurial base, and that maturity-stage support (not just raw volume) should factor into how ecosystem resources are allocated geographically.

3 Sectoral Analysis

3.1 Leading Sectors

The Sector field offers the most granular view of what recognized startups do, with 172 distinct values recorded. Because this granularity produces a long tail of small categories, the chart and table below focus on the top 15–20 sectors, which together account for a substantial share of all activity.

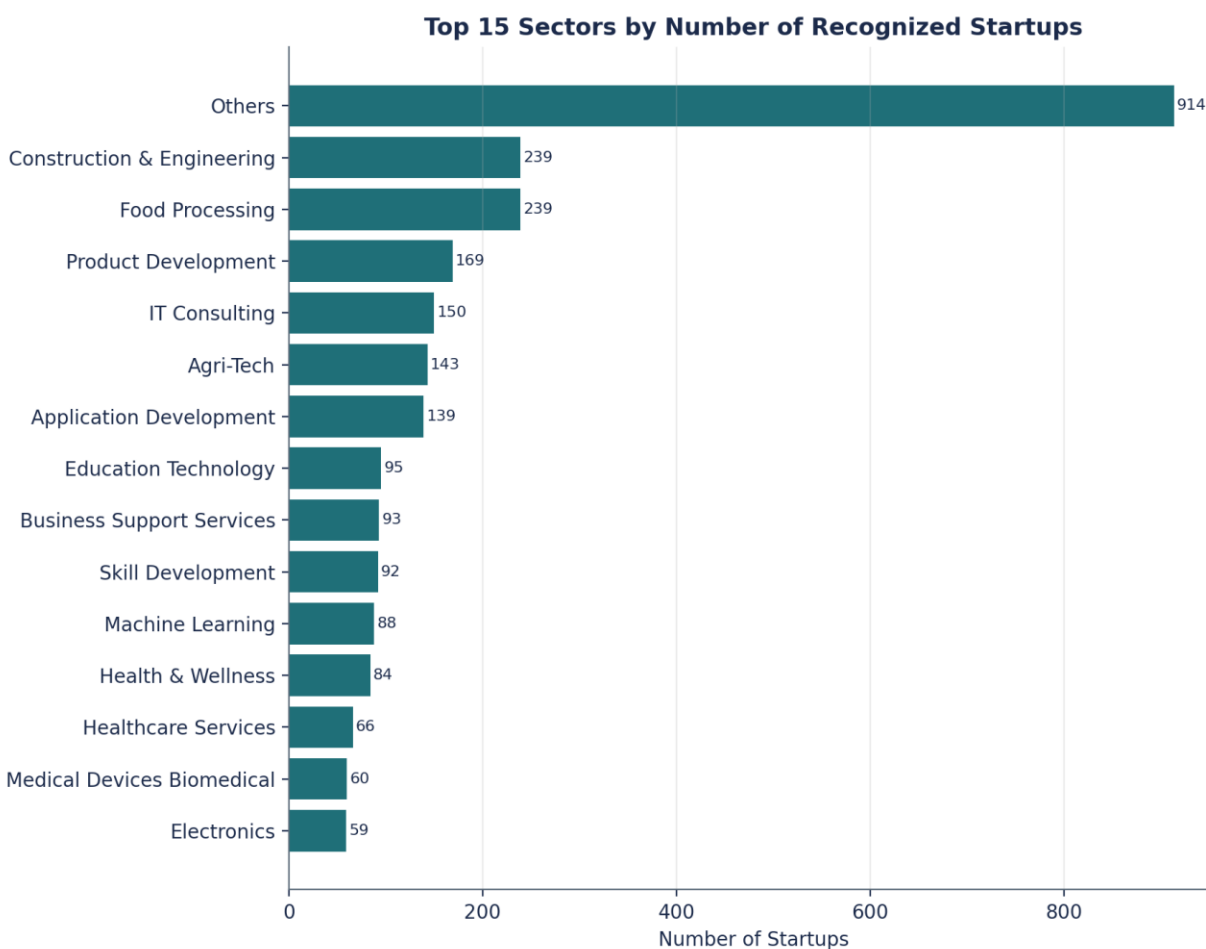


Figure 3.1 — Top 15 sectors by number of recognized startups

Top 20 Sectors — Full Detail

Rank	Sector	Startups	% of Total
1	Others	914	20.6%
2	Food Processing	239	5.4%
3	Construction & Engineering	239	5.4%
4	Product Development	169	3.8%

Rank	Sector	Startups	% of Total
5	IT Consulting	150	3.4%
6	Agri-Tech	143	3.2%
7	Application Development	139	3.1%
8	Education Technology	95	2.1%
9	Business Support Services	93	2.1%
10	Skill Development	92	2.1%
11	Machine Learning	88	2%
12	Health & Wellness	84	1.9%
13	Healthcare Services	66	1.5%
14	Medical Devices Biomedical	60	1.4%
15	Electronics	59	1.3%
16	E-learning	59	1.3%
17	Recruitment Jobs	54	1.2%
18	Manufacturing	52	1.2%
19	Renewable Solar Energy	48	1.1%
20	Renewable Energy Solutions	48	1.1%

The single largest sector label, "Others" (20.6% of records), reflects startups whose granular sector was not further classified at source; treated as a category in its own right, it is the largest single bucket, underscoring that a meaningful share of the ecosystem is not being captured by the existing sector taxonomy. Excluding "Others," Food Processing and Construction & Engineering are statistically tied as the two largest well-defined sectors (239 startups each, 5.4%), followed by Product Development (169), IT Consulting (150) and Agri-Tech (143) — a mix that reflects Andhra Pradesh's strengths in agriculture and allied processing alongside a growing digital-services base.

Beyond the top tier, the sector list fragments quickly: Education Technology, Business Support Services, Skill Development and Machine Learning each account for roughly 2% of startups, and the remaining 150-plus sectors average fewer than 40 startups apiece. The full 172-sector directory is provided in Appendix A for reference. This long tail is itself informative — it shows a genuinely diverse, dispersed innovation base rather than a handful of dominant niches, but it also means most individual sector-specific interventions (a dedicated fund or cluster program, for instance) would only reach a small fraction of the ecosystem unless targeted at the leading five to ten sectors.

3.2 Which Sectors Are Furthest Along?

Startup count alone does not tell us which sectors are producing the most mature companies. The table below ranks the ten largest non-"Others" sectors by the share of their startups that have reached Scaling — a signal of which niches are converting recognition into sustained business growth fastest.

Sector	Startups	% at Scaling	% at Early Traction
Skill Development	92	18.5%	19.6%
Construction & Engineering	239	10.9%	21.3%
Food Processing	239	10%	18.4%
Business Support Services	93	9.7%	21.5%
IT Consulting	150	9.3%	24.7%
Agri-Tech	143	8.4%	27.3%
Product Development	169	7.7%	23.1%
Application Development	139	6.5%	28.1%
Machine Learning	88	5.7%	18.2%
Education Technology	95	5.3%	30.5%

Skill Development stands out with 18.5% of its startups already at the Scaling stage — well above the sector average — suggesting it is one of the more commercially proven niches in the state's portfolio rather than simply one of the largest. Sectors lower in this ranking are not necessarily weaker; many are simply younger cohorts that have not yet had time to mature, reinforcing the pattern already seen in the district-level maturity comparison in Section 2.2.

4 Industry Analysis

4.1 Leading Industries

The Industry field groups startups into 56 broader categories and provides a cleaner lens than Sector for identifying the state's dominant technology and business themes.

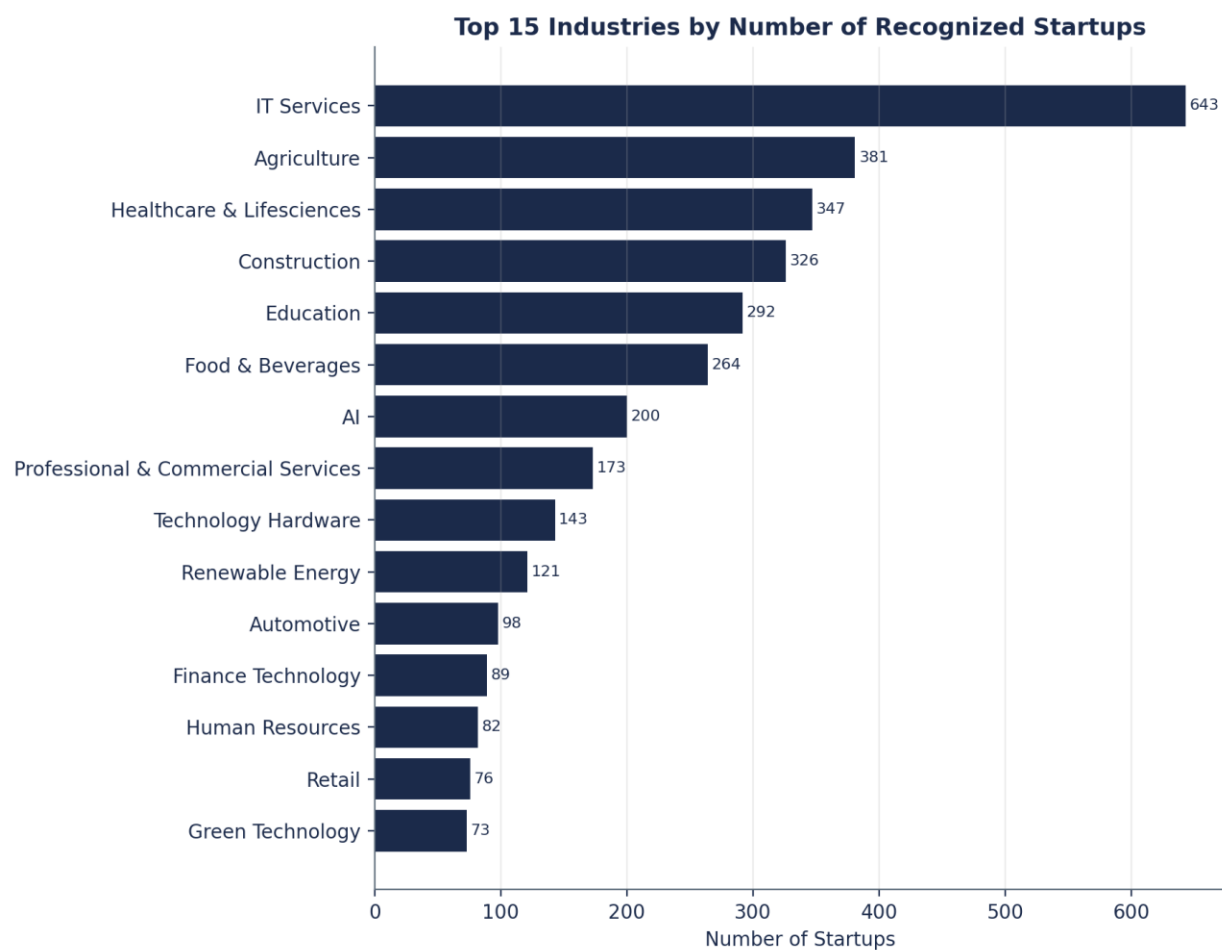


Figure 4.1 — Top 15 industries by number of recognized startups

Complete Industry Breakdown

Rank	Industry	Startups	% of Total
1	IT Services	643	14.5%
2	Agriculture	381	8.6%
3	Healthcare & Lifesciences	347	7.8%
4	Construction	326	7.4%
5	Education	292	6.6%

Rank	Industry	Startups	% of Total
6	Food & Beverages	264	6%
7	AI	200	4.5%
8	Professional & Commercial Services	173	3.9%
9	Technology Hardware	143	3.2%
10	Renewable Energy	121	2.7%
11	Automotive	98	2.2%
12	Finance Technology	89	2%
13	Human Resources	82	1.9%
14	Retail	76	1.7%
15	Green Technology	73	1.6%
16	Enterprise Software	72	1.6%
17	Aeronautics Aerospace & Defence	67	1.5%
18	Marketing	63	1.4%
19	Transportation & Storage	58	1.3%
20	Non- Renewable Energy	58	1.3%
21	Internet of Things	53	1.2%
22	Other Specialty Retailers	50	1.1%
23	Robotics	44	1%
24	Biotechnology	44	1%
25	Travel & Tourism	43	1%
26	Media & Entertainment	42	0.9%
27	Textiles & Apparel	41	0.9%
28	Logistics	38	0.9%

Rank	Industry	Startups	% of Total
29	Telecommunication & Networking	34	0.8%
30	Fashion	34	0.8%
31	Waste Management	34	0.8%
32	Real Estate	30	0.7%
33	Others	29	0.7%
34	Chemicals	28	0.6%

Rank	Industry	Startups	% of Total
35	Social Impact	26	0.6%
36	House-Hold Services	23	0.5%
37	Design	21	0.5%
38	Security Solutions	20	0.5%
39	Advertising	20	0.5%
40	Analytics	17	0.4%
41	Toys and Games	16	0.4%
42	Architecture Interior Design	14	0.3%
43	Sports	13	0.3%
44	AR VR (Augmented + Virtual Reality)	13	0.3%
45	Social Network	13	0.3%
46	Indic Language Startups	11	0.2%
47	Events	10	0.2%
48	Animation	8	0.2%
49	Safety	8	0.2%
50	Art & Photography	6	0.1%
51	Pets & Animals	5	0.1%
52	Computer Vision	5	0.1%
53	Nanotechnology	4	0.1%
54	Airport Operations	3	0.1%
55	Dating Matrimonial	1	0%
56	Passenger Experience	1	0%

IT Services is the largest single industry (643 startups, 14.5%), consistent with Andhra Pradesh's broader push into digital services and software exports. Agriculture (8.6%) and Healthcare & Lifesciences (7.8%) follow closely, reflecting the state's strong agrarian base and expanding health-tech interest. Construction (7.4%) and Education (6.6%) round out the top five, together with Food & Beverages just behind. Notably, AI already accounts for 200 startups (4.5%) — a meaningful presence for an emerging technology category and a signal of rising deep-tech interest across the state, alongside adjacent categories such as Robotics, Internet of Things, and Analytics further down the list.

4.2 Which Industries Are Growing Fastest?

Splitting incorporation activity into three periods — 2016-2020, 2021-2023, and 2024-2026 (year-to-date) — for the six largest industries shows where growth is concentrated most recently, rather than just which industries are largest in cumulative terms.

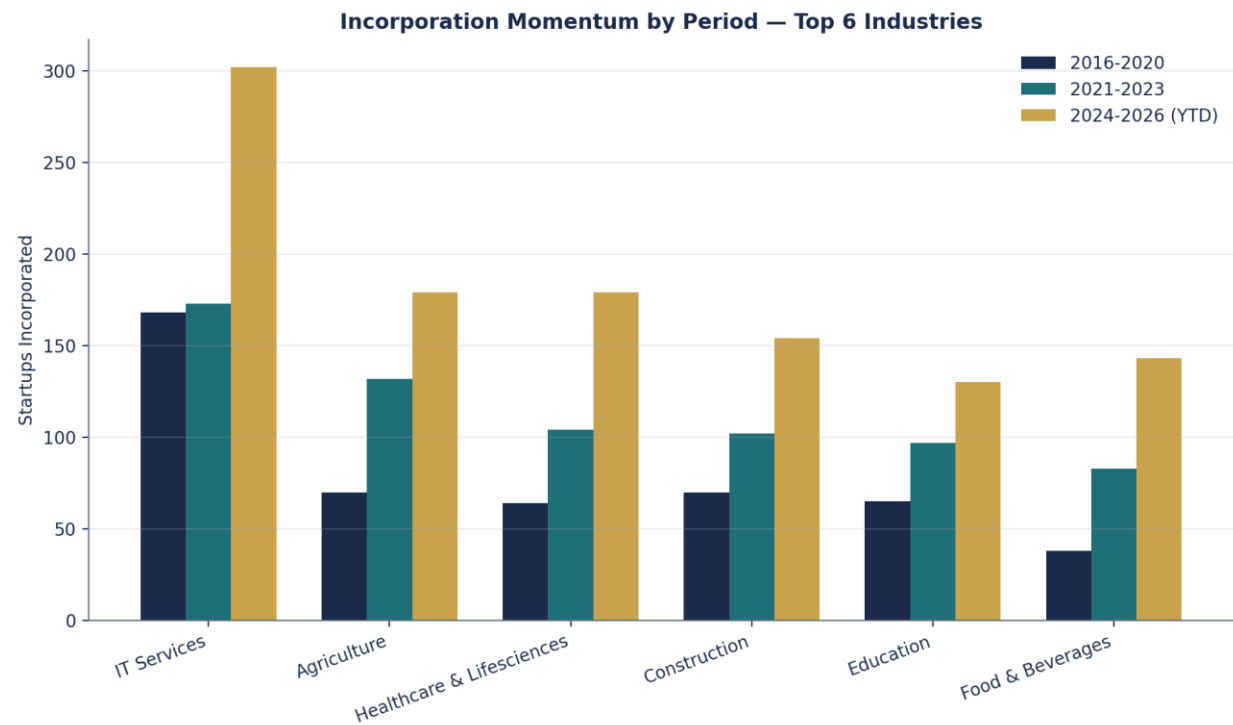


Figure 4.2 — Incorporation momentum by period, top 6 industries

Industry	2016-2020	2021-2023	2024-2026 (YTD)
IT Services	168	173	302
Agriculture	70	132	179
Healthcare & Lifesciences	64	104	179
Construction	70	102	154
Education	65	97	130
Food & Beverages	38	83	143

Every one of the top six industries shows its heaviest incorporation activity in the most recent 2024-2026 period, confirming that the ecosystem-wide acceleration documented in Section 1 is broad-based rather than driven by a single vertical. Among these, Food & Beverages shows the steepest relative climb from the 2016-2020 base period to 2024-2026, indicating it is one of the state's fastest-emerging themes rather than simply riding the overall wave.

5 Industry × Stage Cross-Analysis

Combining Industry and Stage reveals whether particular industries skew toward early-stage or growth-stage activity. The chart below stacks the four maturity stages within each of the top ten industries by volume.

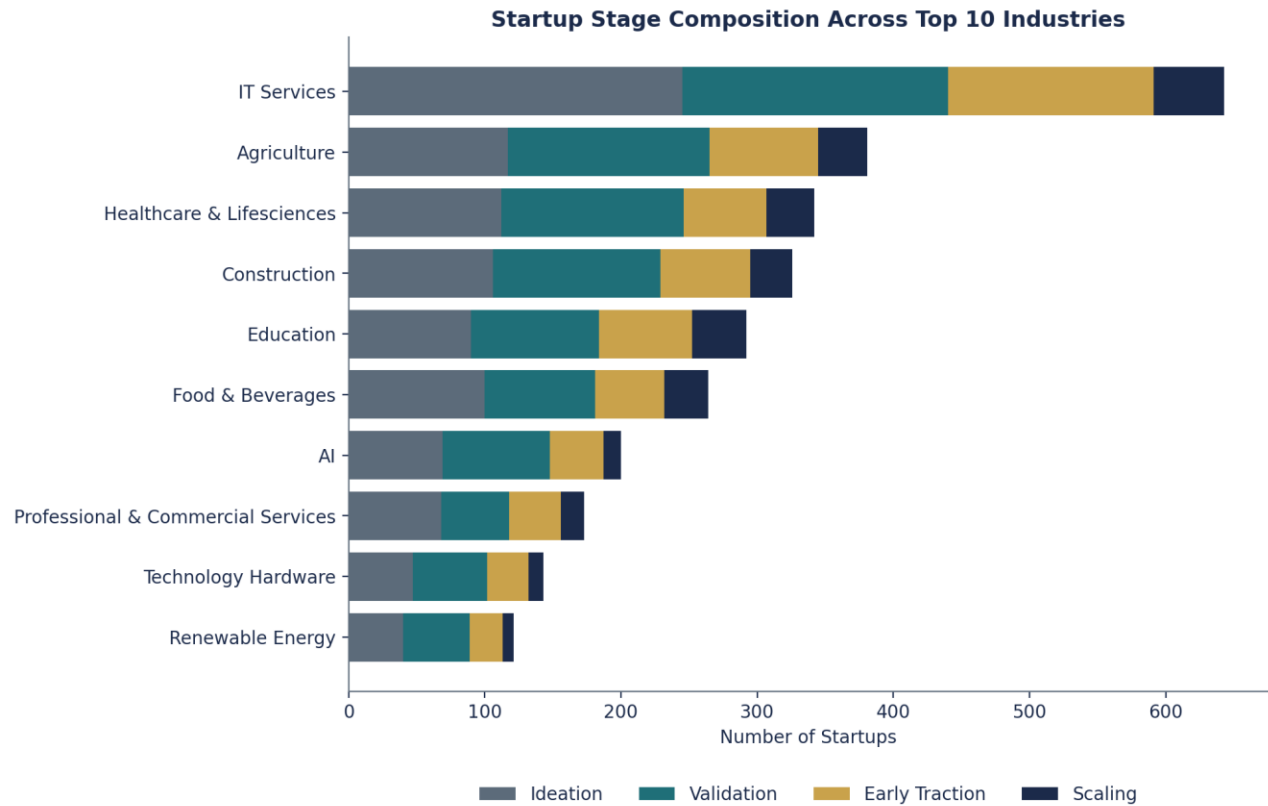


Figure 5.1 — Stage composition within the top 10 industries

Industry	Ideation	Validation	Early Traction	Scaling
IT Services	245	195	151	52
Agriculture	117	148	80	36
Healthcare & Lifesciences	112	134	61	35
Construction	106	123	66	31
Education	90	94	68	40
Food & Beverages	100	81	51	32
AI	69	79	39	13
Professional & Commercial Services	68	50	38	17
Technology Hardware	47	55	30	11

Industry	Ideation	Validation	Early Traction	Scaling
Renewable Energy	40	49	24	8

Across most large industries, the Ideation-plus-Validation share consistently exceeds half of all startups, confirming that the maturity skew observed in Section 2 is broad-based rather than driven by one or two industries. IT Services and Agriculture — the two largest industries — both carry sizeable Early Traction and Scaling cohorts in absolute terms simply due to their scale, making them the most promising near-term pipeline for growth-stage support programs even though their proportional stage mix resembles the rest of the ecosystem.

6 Geographic Analysis

6.1 District-wise Distribution

District of registered address is populated for all 4,428 records and spans 53 distinct district labels. Note that these labels mix the state's pre-2022 revenue districts with several post-reorganization district names as entered at source, so figures below should be read at the level of the named district rather than assuming a single, fully standardized boundary set.

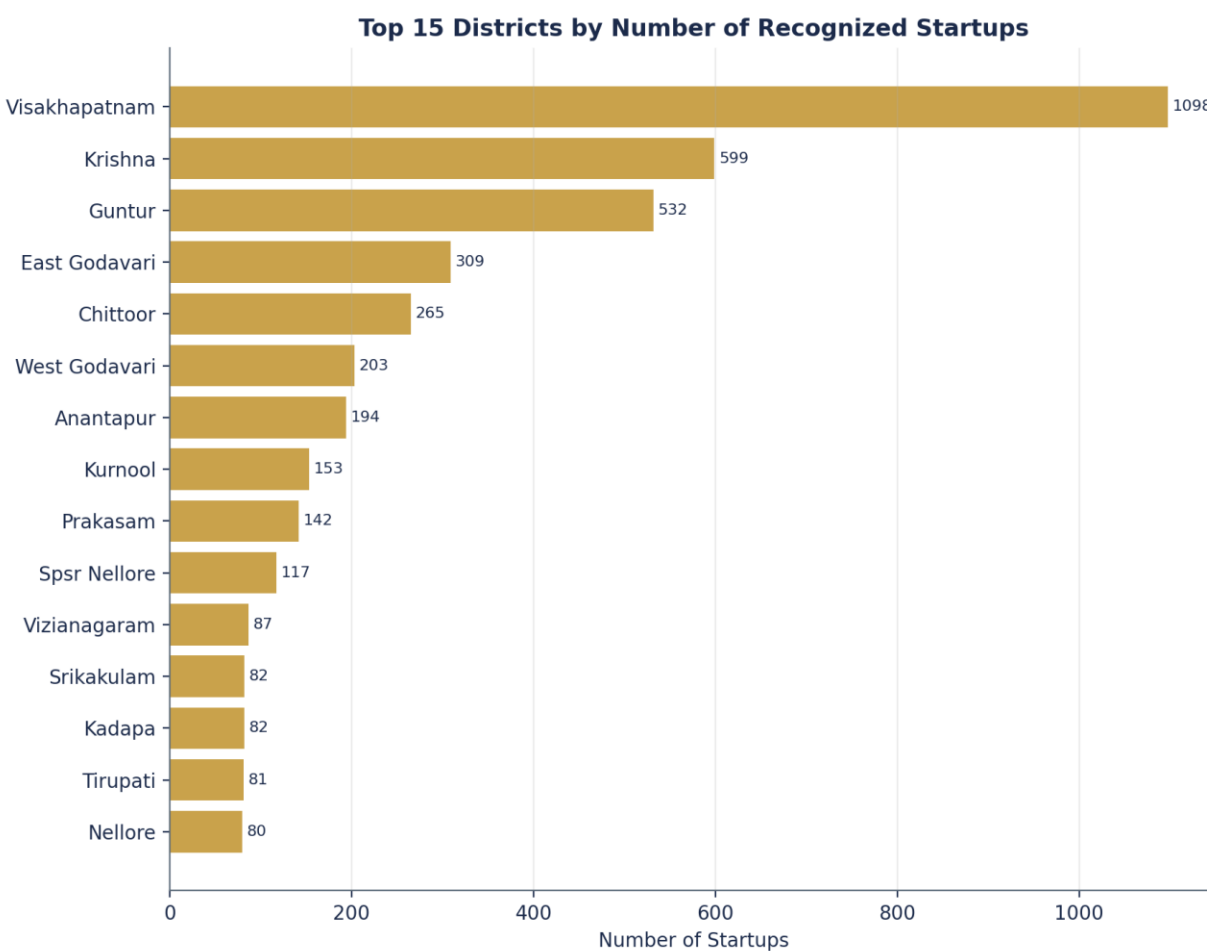


Figure 6.1 — Top 15 districts by number of recognized startups

Top 20 Districts — Full Detail

Rank	District	Startups	% of Total
1	Visakhapatnam	1098	24.8%
2	Krishna	599	13.5%
3	Guntur	532	12%
4	East Godavari	309	7%
5	Chittoor	265	6%
6	West Godavari	203	4.6%
7	Anantapur	194	4.4%
8	Kurnool	153	3.5%
9	Prakasam	142	3.2%
10	Spsr Nellore	117	2.6%
11	Vizianagaram	87	2%
12	Srikakulam	82	1.9%
13	Kadapa	82	1.9%
14	Tirupati	81	1.8%
15	Nellore	80	1.8%
16	Vijayawada	74	1.7%
17	Y.S.R.	67	1.5%
18	Kakinada	46	1%
19	Eluru	43	1%
20	Anakapalle	25	0.6%

Visakhapatnam district is the dominant hub, accounting for 24.8% of all recognized startups — nearly double the combined share of the next two districts. Krishna (13.5%) and Guntur (12%) form a clear second tier, and together the top five districts (Visakhapatnam, Krishna, Guntur, East Godavari, Chittoor) account for 63.3% of the state total. The remaining 48 districts share the balance, with the smallest contributing only a handful of startups each. This concentration mirrors the state's established urban and industrial centers and suggests outreach and incubation infrastructure outside the top five districts is an area with room to grow.

6.2 City / Town-wise Distribution

At the city/town level the data is far more granular — 1,035 distinct city values are recorded after normalizing case and punctuation, reflecting free-text entry at source. The top 20 cities below still capture a large share of total activity and closely track the leading districts.

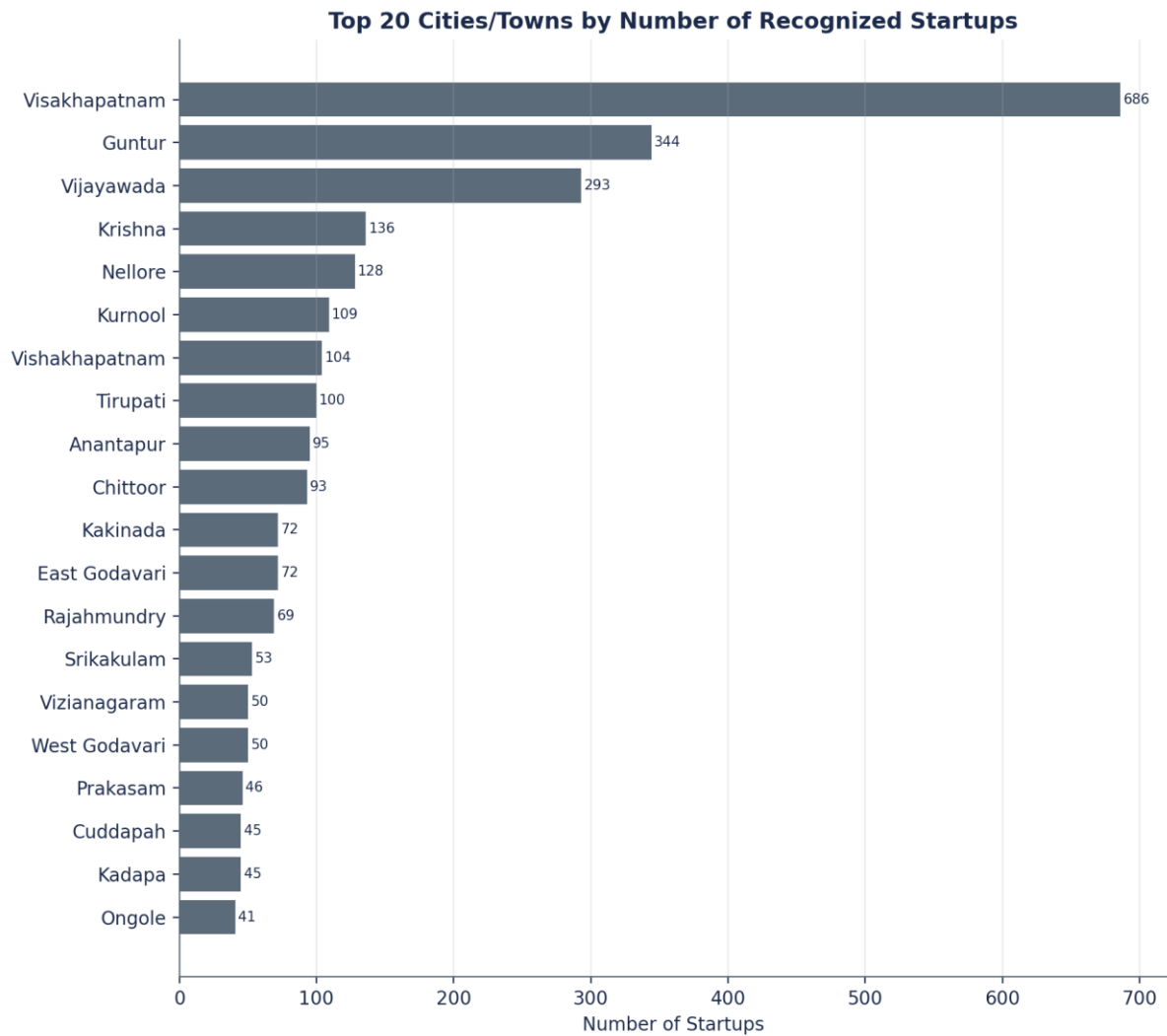


Figure 6.2 — Top 20 cities/towns by number of recognized startups

Rank	City / Town	Startups	% of Total
1	Visakhapatnam	686	15.5%
2	Guntur	344	7.8%
3	Vijayawada	293	6.6%
4	Krishna	136	3.1%

Rank	City / Town	Startups	% of Total
5	Nellore	128	2.9%
6	Kurnool	109	2.5%
7	Vishakhapatnam	104	2.3%
8	Tirupati	100	2.3%
9	Anantapur	95	2.1%
10	Chittoor	93	2.1%
11	Kakinada	72	1.6%
12	East Godavari	72	1.6%
13	Rajahmundry	69	1.6%
14	Srikakulam	53	1.2%
15	Vizianagaram	50	1.1%
16	West Godavari	50	1.1%
17	Prakasam	46	1%
18	Kadapa	45	1%
19	Cuddapah	45	1%
20	Ongole	41	0.9%

Visakhapatnam city alone (recorded under several spelling variants, consolidated here) is the single largest city by startup count, followed by Guntur and Vijayawada — reinforcing the coastal-urban concentration already visible at the district level. The long tail beyond the top 20 cities (over a thousand distinct town/city entries) indicates that recognized startups are nevertheless present in a very wide spread of smaller towns across the state, even if in small numbers each.

6.3 District Industry Spotlight

The table below profiles the top three industries within each of the eight largest districts, illustrating that while IT Services is a common thread across every major district, the secondary industry mix varies — Agriculture features prominently in Krishna and Guntur, while Healthcare & Lifesciences and Construction feature more strongly in Visakhapatnam.

District	Total Startups	Leading Industries (Count)
Visakhapatnam	1098	IT Services (168); Healthcare & Lifesciences (119); Construction (72)
Krishna	599	IT Services (90); Agriculture (55); Construction (44)
Guntur	532	IT Services (79); Agriculture (56); Healthcare & Lifesciences (53)
East Godavari	309	IT Services (45); Construction (34); Agriculture (21)
Chittoor	265	IT Services (39); Agriculture (26); Education (19)

District	Total Startups	Leading Industries (Count)
West Godavari	203	IT Services (29); Agriculture (28); Healthcare & Lifesciences (18)
Anantapur	194	IT Services (30); Construction (28); Agriculture (19)
Kurnool	153	Agriculture (24); IT Services (20); Construction (13)

6.4 Recognition Efficiency by District

The median incorporation-to-recognition lag also varies by district, hinting at differences in local awareness and application support for the DPIIT scheme.

District	Median Lag (days)
Kurnool	98
Prakasam	108
West Godavari	132
Chittoor	134
Krishna	136
East Godavari	138
Anantapur	142
Guntur	147
Visakhapatnam	160
Spsr Nellore	188

Kurnool has the shortest median lag among the top 10 districts at 98 days, while Spsr Nellore has the longest at 188 days — a gap that may reflect differences in how quickly local founders learn about and act on the DPIIT recognition process.

7 Digital Presence: Website Availability

The presence of a working website URL is a simple but useful proxy for a startup's digital readiness and public-facing maturity. Across the full dataset, only 1,088 of 4,428 records (24.6%) carry a populated website URL; the remaining 3,340 (75.4%) left the field blank.

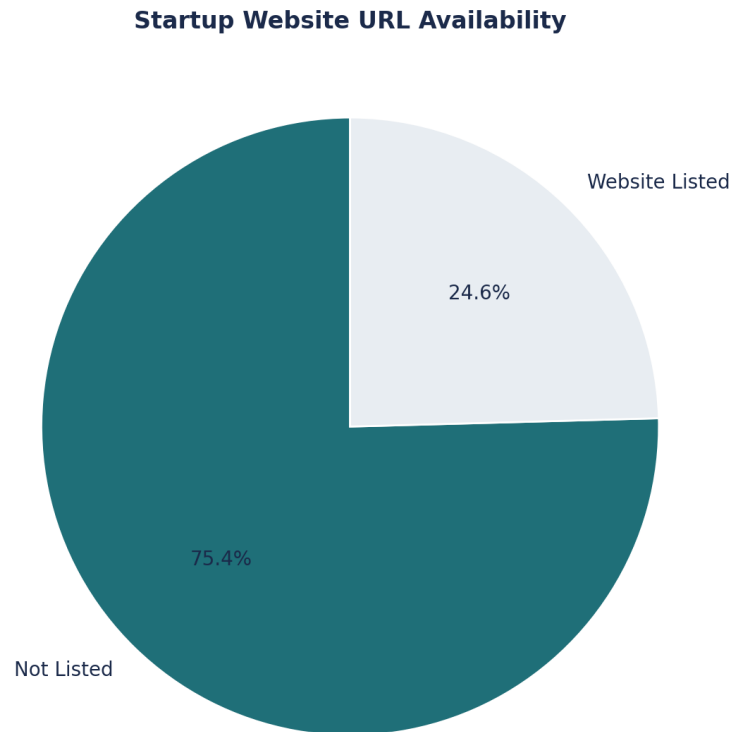


Figure 7.1 — Share of startups with a listed website URL

1,088 With Website Listed	3,340 Without Website	24.6% Website Coverage
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This low coverage rate is broadly consistent with the stage distribution in Section 2: with roughly two-thirds of startups still at Ideation or Validation, many simply may not yet have built a public website. Even so, a coverage rate below one-quarter suggests digital-presence support — templated landing pages, domain/hosting assistance, or a mandatory field at recognition renewal — could be a low-cost, high-visibility intervention for ecosystem programs.

8 Conclusion

The DPIIT-recognized startup base in Andhra Pradesh has entered a period of rapid expansion, with recognition volumes in the first half of 2026 alone approaching the entirety of some earlier full calendar years. This growth is broad-based across industries but geographically concentrated, sector-diverse but early-stage-heavy, and increasingly timely in how quickly new companies are being recognized after incorporation. The dataset — despite some classification and formatting inconsistencies typical of large administrative registers — provides a robust evidence base for targeted policy action.

Taken together, the findings in this report point toward three priorities for the state's startup ecosystem: (1) deepen support for the very large early-stage cohort rather than assuming later-stage financing is the binding constraint; (2) actively work to spread startup infrastructure and support beyond the current top five districts, which together host over half of all recognized startups; and (3) invest in data and classification hygiene — sector taxonomy, website capture, and periodic re-validation — so that future analyses of the ecosystem can be even sharper. With DPIIT recognitions still climbing quarter over quarter as of mid-2026, Andhra Pradesh's startup base appears well positioned for continued growth, provided the supporting infrastructure keeps pace.